

Title of the proposed business

Naturale - Handmade Eco-Friendly Bags

Nature of the proposed business organization

The initial establishment of the company as a sole proprietorship represents a strategic choice that is in line with the current size and scope of operations in Sri Lanka. This structure offers simplified registration processes, direct control over business decisions and minimal regulatory requirements, making it ideal for a start-up phase. The reduced administrative burden and lower start-up costs enable a greater focus on the development of core activities.

Looking ahead, the planned transition to a private company will enable future growth and expansion. This evolution will provide greater credibility, limited liability protection and better access to capital through multiple shareholders. The phased approach allows the company to adapt its legal structure in response to increasing operational complexity and market opportunities.

Nature of the proposed product

“Naturale” will manufacture and retail three primary eco-friendly bag categories

- **Handcrafted Tote Bags**

These premium tote bags represent a perfect combination of sustainability and style, made from locally sourced, eco-friendly materials. Each bag is made from organic cotton canvas as the primary material, supplemented with natural dyes extracted from local plants and vegetables. The bags feature traditional Sri Lankan handwoven textiles and embellishments, making each piece unique. Artisans use age-old weaving techniques passed down from generation to generation, combined with modern design elements to create durable, fashionable bags. The production process emphasizes zero waste, with even fabric scraps being reused in smaller accessories or decorative elements.

- **Banana Fiber Bags**

These bags transform agricultural waste into luxury fashion and utilize the strong, sustainable fibers extracted from the stems of banana plants that would otherwise be thrown away after harvest. The production process begins with the collection of banana stems from local farmers, followed by fiber extraction, natural processing and skilled weaving. The resulting material is not only incredibly strong, but also has a unique natural texture and subtle shine. Each bag undergoes a specialized treatment process to improve durability while maintaining its biodegradable properties. The design includes both structured and casual styles, appealing to environmentally conscious consumers looking for distinctive, sustainable accessories.

- **Palmyra Leaf Bags**

These bags represent the pinnacle of Northern Province craftsmanship, using sustainably harvested Palmyra palm fronds. Skilled artisans from traditional weaving communities process the leaves through an intricate preparation method that ensures durability while preserving the natural properties of the material. The weaving technique, unique to the region, creates distinctive patterns that tell stories of cultural heritage. Each bag features reinforced handles and carefully sealed surfaces to extend its life while maintaining its natural aesthetic. This product line not only preserves a centuries-old craft, but also provides sustainable income for communities in the Northern Province who have practiced this art form for generations.

All products emphasize Sri Lankan artisanal heritage while promoting sustainability.

Legal background of the venture

Required Legal Compliance

- Business Registration with Registrar of Companies
- Local Authority Trade License
- EDB Registration (for potential exports)
- Industrial Development Board Registration
- VAT Registration (if turnover exceeds threshold)
- Environmental Protection License (if required)
- National Crafts Council Registration

Market Segmentation and target market

Primary Market Segments

- **Local Eco-Conscious Consumers (urban areas)**

These are environmentally conscious urban professionals, mainly from Colombo, Kandy and Galle, who prioritize sustainable products and are willing to pay higher prices for eco-friendly, locally manufactured items. They are typically between 25 and 45 years old, have disposable income and are strongly interested in supporting local artisans.

- **Tourism Sector (hotels, gift shops)**

This segment includes luxury hotels, boutique resorts, airport duty-free shops and tourist-oriented stores. These companies are looking for authentic Sri Lankan products that combine traditional craftsmanship with practical value for their international guests.

- **Export Market (European buyers)**

Focused on environmentally conscious retailers and distributors in European countries, particularly Germany, the Netherlands and the Scandinavian regions, where sustainable fashion and ethical production are highly valued. These buyers are often looking for fair trade certified products with authentic cultural stories.

- **Corporate Clients (promotional events)**

Local and multinational companies operating in Sri Lanka that require sustainable corporate gifts, event merchandise or eco-friendly branded products for their marketing initiatives and corporate social responsibility programs. Target market.

Target Market Categories

- **Primary (Urban Sri Lankan professionals and tourists)**

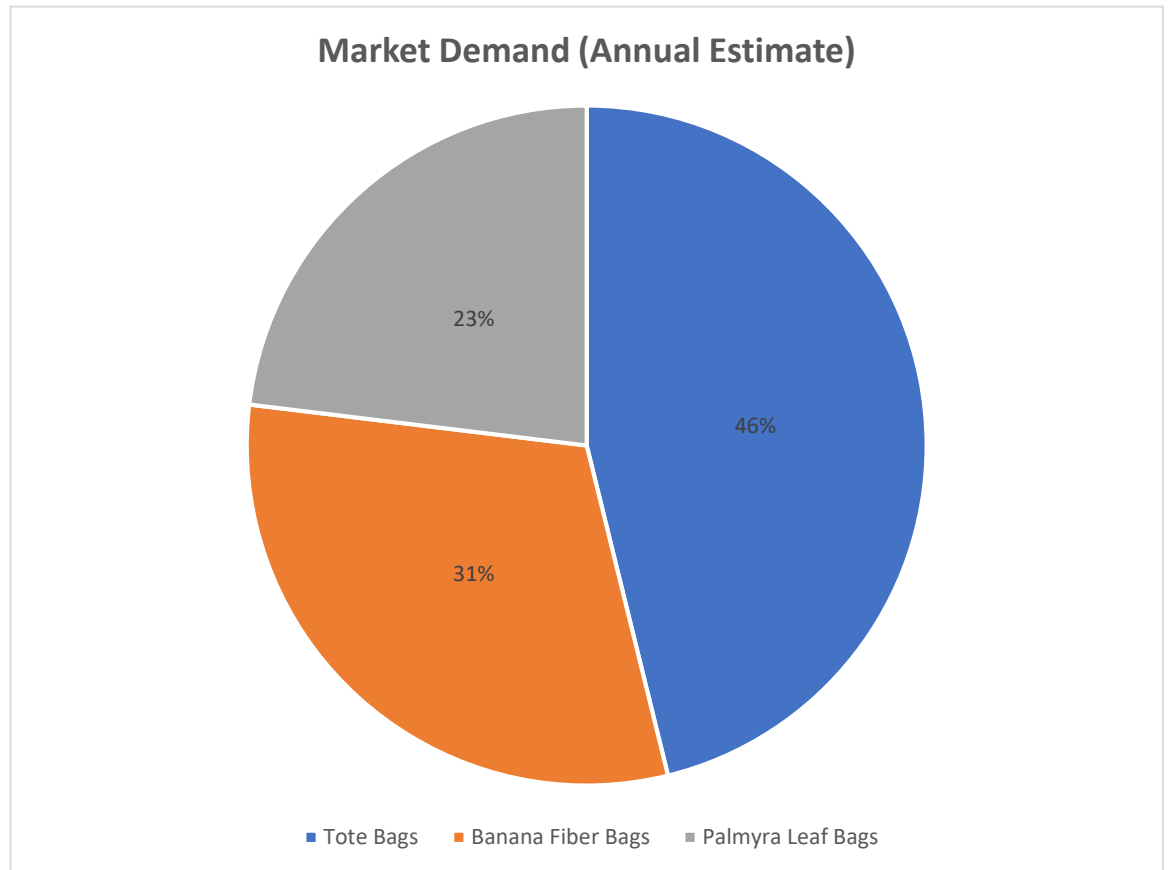
This core market consists of local professionals with environmental awareness and international tourists looking for authentic, sustainable souvenirs. They value both the aesthetic appeal and environmental impact of their purchases, with higher disposable income and an appreciation for artisanal craftsmanship.

- **Secondary (International wholesale buyers and eco-retail chains)**

This includes international distributors, sustainable fashion boutiques and eco-retail chains looking for unique, eco-friendly products with strong cultural connections. They often place bulk orders and demand consistent quality and delivery reliability.

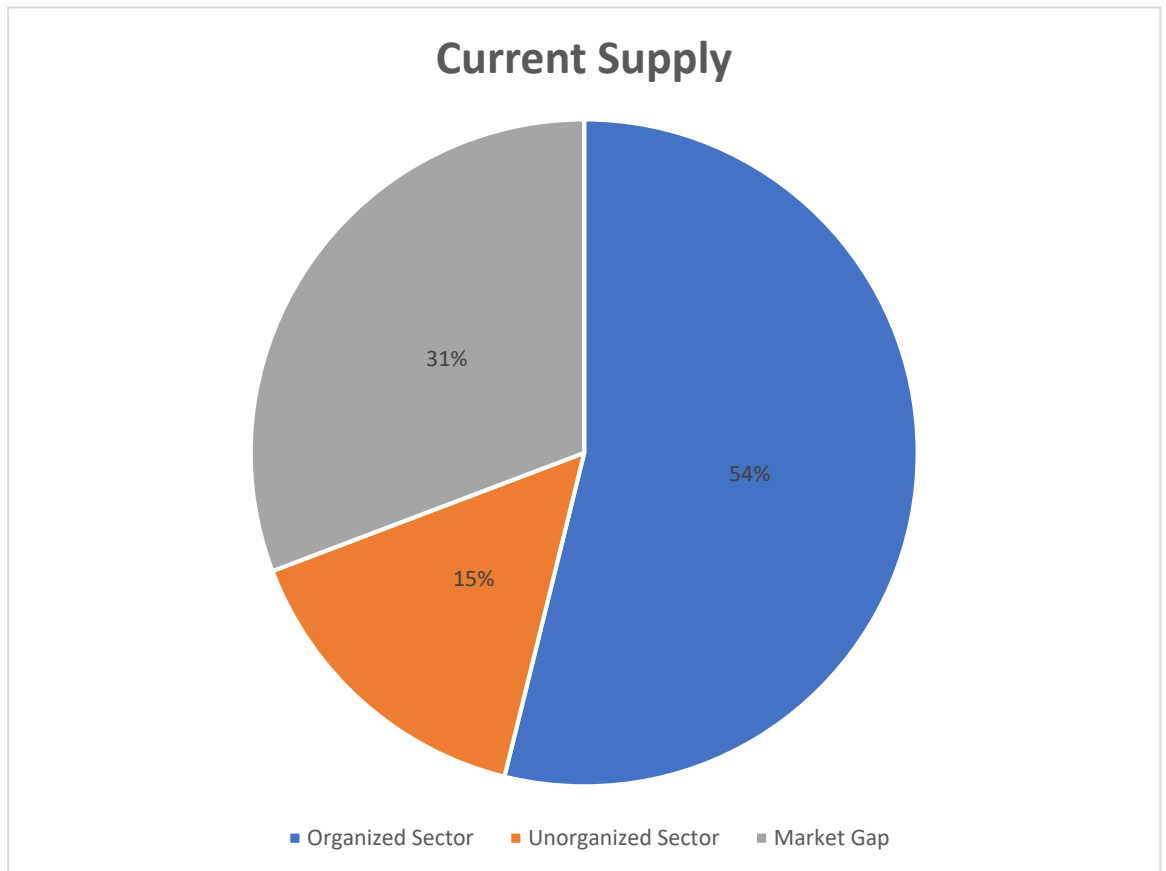
Existing demand and supply analysis

- **Market Demand**



	Units
Tote Bags	6000
Banana Fiber Bags	3000
Palmyra Leaf Bags	3000
Total Market Demand (annually)	13000

- **Current Supply**



	Units
Organized Sector	7000
Unorganized Sector	2000
Market Gap	4000
Total Market Demand (annually)	13000

Existing competition and their strategies

Current Market Players:

- **Local Handicraft Producers**

These traditional craftsmen and small-scale producers mainly target the tourist market with conventional designs. Although they offer authentic local products, they often lack consistency in quality and modern appearance. Our advantage lies in combining traditional craftsmanship with contemporary designs, ensuring consistent quality standards and maintaining reliable production schedules.

- **Import Products**

Mass market competitors import cheaper bags from countries such as China and Bangladesh, offering lower prices but lacking authenticity and sustainability credentials. These products dominate price-sensitive segments, but miss the growing environmentally conscious market. Our advantage is to offer genuine Sri Lankan craftsmanship with verified sustainable materials, appealing to consumers who value authenticity and environmental responsibility.

Our Competitive Strategy:

- **Product**

We focus on top quality products using certified eco-friendly materials so that every piece meets strict sustainability standards. Our designs combine traditional techniques with modern aesthetics, creating unique products that stand out in both local and international markets. Quality control processes ensure consistency across all product lines.

- **Price**

We position our products in the mid-range segment for the local market, making them accessible to urban professionals while maintaining the premium positioning. For export markets, we charge premium prices to reflect the unique craftsmanship and sustainable production methods, aimed at high-quality retail channels and conscious consumers.

- **Place**

Distribution focuses on strategic retail partnerships in key tourism locations and urban centers. We establish a presence in premium hotels, eco-friendly boutiques and selected tourist-shopping areas. Our online presence enables direct access to international markets through our e-commerce platform and partnerships with sustainable fashion marketplaces.

- **Promotion**

Marketing emphasizes digital presence through targeted social media campaigns that highlight our sustainability story and artisanal heritage. We build strong partnerships within the tourism industry and work with hotels and travel companies to showcase our products. Content marketing focuses on educating consumers about our environmentally friendly practices and cultural significance.

Estimated revenue analysis

Product	Unit Price (LKR)	No. of Units			Expected Sales Value (LKR)		
		1st Year	2nd Year	3rd Year	1st Year	2nd Year	3rd Year
Tote Bags	3500	2000	2600	3380	7,000,000	9,100,000	11,830,000
Banana Fiber	4500	1500	1950	2535	6,750,000	8,775,000	11,407,500
Palmyra Leaf	4000	1000	1300	1690	4,000,000	5,200,000	6,760,000
Total	-	4500	5850	7605	17,750,000	23,075,000	29,997,500

Cost Analysis

Fixed Assets (LKR)	2,300,000
Pre Optional Expenses (LKR)	1,000,000
Working Capital (LKR)	4,700,000
Total Project Cost (LKR)	8,000,000

- Fixed Assets**

Production Equipment (LKR)	1,000,000
Workshop Setup (LKR)	800,000
Office Infrastructure (LKR)	500,000
Total Fixed Assets (LKR)	2,300,000

- Pre-operational Expenses**

Legal and Registration (LKR)	200,000
Artisan Training (LKR)	300,000
Initial Marketing (LKR)	500,000
Total Pre-operational (LKR)	1,000,000

- **Working Capital**

Raw Materials (LKR)	2,000,000
Labor Costs (LKR)	1,500,000
Initial Marketing (LKR)	1,200,000
Total Working Capital (LKR)	4,700,000

Estimated profit Analysis & Financing

Profit Estimation

	1 st Year (LKR)	2 nd Year (LKR)	3 rd Year (LKR)
Sales	17,750,000	23,075,000	29,997,500
Less:- Cost of sales	10,650,000	13,845,000	17,998,500
Gross Profit	7,100,000	9,230,000	11,999,000
Other Income	-	-	-
	35,500,000	46,150,000	59,995,000
<u>Less:-</u>			
Establishment & Administration expenses	1,800,000	2,160,000	2,592,000
Sales & Distribution expenses	1,200,000	1,440,000	1,728,000
Finance expenses	800,000	640,000	480,000
Net Profit	3,300,000	4,990,000	7,199,000

Financing

	Value (LKR)	%
Total Project Cost	8,000,000	100
<u>Financing</u>		
Owner Capital	5,000,000	62.5
Loan Capital	3,000,000	37.5
Total	8,000,000	100